

Is ‘the money in the system’?

Cite as: Martin Paul Eve, "Is ‘the money in the system’?", *eve.gd: Martin Paul Eve*, April 28, 2020, <https://doi.org/10.59348/b0d8k-wx988>.



One of the oft-repeated adages in the scholarly communications world is that ‘the money is in the system’, it’s just badly distributed. This is one of [the core problems with APCs](#); they don’t distribute funds in a similar way to subscriptions, so even if we could afford it, we still have a problematic distribution.

What if this isn’t true, though, that the level of funding will remain the same? We have [300 or so institutions supporting the Open Library of Humanities](#). There are a few notable institutional exceptions to the list, but this is a pretty good ‘who’s who’ of ‘libraries who/that are supportive of OA’. For more, see my [recent blog post over at OLH](#). But 300 libraries is not the thousands of institutions worldwide who subscribe to traditional serial publications. These institutions silently continue to do what they have always done: buy a slim proportion of what material they can afford for their constituent local communities.

Certainly, most of these ‘silent majority’ institutions are not the ones spending mega-bucks and exerting market pressure to transform to open access. It’s the big institutions who are driving market changes and calling for the phasing out of subscriptions in favour of OA models. So it might be that subscription products disappear because of the market pressure that these large institutions/universities can exert.

But, as per a colleague with whom I was discussing this last night, this does not mean that the smaller institutions will switch their subscription expenditure to OA. Certainly, models with coercive aspects – APCs, Subscribe to Open – have a good incentive to get those otherwise free-rider institutions on board. It seems likely, though, that many institutions with low- to zero-research outputs *will just absorb the money they otherwise spent on subscriptions*. I'm not being judgemental about this. These are not usually wealthy universities, even when they might be not-for-profit. They need to pay their staff and get the best deal for their students. But it would mean, in a new environment, that you could see a substantial long tail of money disappear – or a massive re-allocation of this long tail solely onto large research universities.

Of course, perhaps there is enough slack in the system to take this. 30% profit margins are common in for-profit scholarly communications, so if 20% of the revenue dropped off, you'd still see a sustainable return, even if the big players really wouldn't like this. But I now feel much more sceptical about the argument that the same amount of money is going to stay in the system, even as publication volume will continue to increase.